

Regulatory Framework and Licensing Pathway for AYUSH Startups

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SECTION 1 — ENTITY AND PRODUCT CLASSIFICATION

Before approaching licensing, an AYUSH startup should classify its product correctly, since the licensing pathway differs substantially:

- ASU (Ayurveda/Siddha/Unani) drug — regulated under the Drugs and Cosmetics Act as a "drug," requiring a manufacturing licence (Form 24D) and adherence to Schedule T GMP.
- Cosmetic (e.g. herbal skincare without therapeutic claims) — regulated under the cosmetics provisions of the Drugs and Cosmetics Act, a materially lighter compliance pathway than a "drug" classification.
- Food/nutraceutical (e.g. herbal supplement marketed for general wellness without disease-specific claims) — regulated by FSSAI, not the State AYUSH licensing authority.

Misclassifying a product (e.g. marketing a cosmetic with disease-cure language, inadvertently pulling it into "drug" regulation) is one of the most common early-stage compliance failures for AYUSH startups.

SECTION 2 — TYPICAL LAUNCH-READINESS CHECKLIST FOR AN ASU DRUG STARTUP

1. Finalise formulation against pharmacopoeial reference or file as a "Patent or Proprietary" ASU medicine with supporting rationale.
2. Secure manufacturing capacity — either an in-house Schedule T compliant facility or a licensed third-party/loan manufacturer.
3. Apply for State manufacturing licence (Form 24D) with required documentation (site master file, product list, technical staff qualifications).
4. Complete label compliance review (Rule 161) before print/packaging.
5. Register trademark for brand name early — ideally before significant marketing spend — to avoid later rebranding costs from a Section 9/11 objection or opposition.
6. If formulation involves a novel extraction/delivery method, evaluate patent protection before public disclosure (public disclosure prior to filing can destroy novelty).

SECTION 3 — MSME AND STARTUP INCENTIVES

DPIIT-recognised startups and MSMEs are eligible for:

- Reduced patent and trademark official fees.
- Access to expedited patent examination (Form 18A).
- Various state-level AYUSH startup incubation schemes offering GMP facility subsidies and testing-lab access (scheme availability varies by state).

SECTION 4 — ONGOING COMPLIANCE OBLIGATIONS

Once launched, an ASU drug manufacturer must maintain: batch manufacturing and testing records (typically retained for a minimum retention period set by the State Licensing Authority), periodic GMP renewal/inspection, and label/claims review whenever formulation or marketing copy changes.

DISCLAIMER: General summary for informational/demo purposes; verify current requirements with your State AYUSH Licensing Authority and, where relevant, FSSAI.